

2024
Annual Report

Johnson & Johnson

Our Credo

We believe our first responsibility is to the patients, doctors and nurses, to mothers and fathers and all others who use our products and services. In meeting their needs everything we do must be of high quality. We must constantly strive to provide value, reduce our costs and maintain reasonable prices. Customers' orders must be serviced promptly and accurately. Our business partners must have an opportunity to make a fair profit.

We are responsible to our employees who work with us throughout the world. We must provide an inclusive work environment where each person must be considered as an individual. We must respect their diversity and dignity and recognize their merit. They must have a sense of security, fulfillment and purpose in their jobs. Compensation must be fair and adequate and working conditions clean, orderly and safe. We must support the health and well-being of our employees and help them fulfill their family and other personal responsibilities. Employees must feel free to make suggestions and complaints. There must be equal opportunity for employment, development and advancement for those qualified. We must provide highly capable leaders and their actions must be just and ethical.

We are responsible to the communities in which we live and work and to the world community as well. We must help people be healthier by supporting better access and care in more places around the world. We must be good citizens — support good works and charities, better health and education, and bear our fair share of taxes. We must maintain in good order the property we are privileged to use, protecting the environment and natural resources.

Our final responsibility is to our stockholders. Business must make a sound profit. We must experiment with new ideas. Research must be carried on, innovative programs developed, investments made for the future and mistakes paid for. New equipment must be purchased, new facilities provided and new products launched. Reserves must be created to provide for adverse times. When we operate according to these principles, the stockholders should realize a fair return.

Johnson & Johnson

Dear shareholders,

March 2025

In 2024, we continued to establish Johnson & Johnson as healthcare's leading, most comprehensive innovation powerhouse.

With our focus on pharmaceuticals and medical technology, we stand alone in our ability to impact the full spectrum of disease.

From cardiology to cancer, mental health to vision, cell therapies to robotics, the depth and breadth of our expertise and capabilities is unique. No company can match our ability to deliver best-in-class solutions for patients at every step of their journeys.

Performance and priorities

Johnson & Johnson delivered robust operational sales growth of 7%^{1,2}. Full year adjusted net earnings were \$24.2 billion¹. Adjusted diluted net earnings per share was \$9.98¹.

We continued to execute against our capital allocation priorities and generated strong free-cash-flow of approximately \$20 billion¹. This enabled Johnson & Johnson to increase our dividend for the 62nd consecutive year. We know this use of capital is important, and we remain committed to returning value to our shareholders.

Our strong balance sheet also allowed Johnson & Johnson to pursue strategic actions that will position us for sustained, differentiated growth through the end of the decade and beyond. Since January 2024, we invested approximately \$50 billion in research and development and other inorganic growth opportunities, including the recently announced planned acquisition of Intra-Cellular Therapies.

Johnson & Johnson has long been a partner of choice for the next generation of innovators. From major acquisitions, including Shockwave and V-Wave in MedTech and Ambrx, Proteogix, and the NM-26 bispecific antibody in Innovative Medicine, to the more than 40 smaller collaborations, partnerships, and licenses signed in 2024, we are laying the foundation for tomorrow's treatments and cures with our investments today.

We also continued to strengthen our manufacturing capacity in the United States and around the world. We announced a \$2 billion advanced technology facility in North Carolina that will expand production of our biologic portfolio and pipeline, and we broke ground on extensions to our Impella heart pump facilities in Massachusetts and Germany.

Innovative Medicine

Innovative Medicine reported \$57 billion in sales. DARZALEX became our first brand to exceed \$3 billion in sales in a single quarter and SPRAVATO became our 26th platform to generate at least \$1 billion in annual revenue. Other key growth drivers include ERLEADA, CARVYKTI, and TREMFYA.

Equally impressive is our pace of innovation, which resulted in 27 approvals in major markets. Among the most notable were FDA approvals of TREMFYA for the treatment of ulcerative colitis and RYBREVENT plus LAZCLUZE for first-line treatment of EGFR-mutated advanced non-small cell lung cancer.

We reported 18 positive readouts for registrational studies, initiated 17 Phase III studies, and submitted 49 filings across major markets. The FDA granted priority review designations to five indications for our innovative medicines. This includes RYBREVENT plus LAZCLUZE for frontline non-small cell lung cancer, DARZALEX FASPRO for frontline transplant-eligible multiple myeloma with VRd, nipocalimab for generalized myasthenia gravis, SPRAVATO as a monotherapy for drug-resistant depression, and OPSUMIT for pediatric pulmonary arterial hypertension.

MedTech

For the second year in a row, we reported more than \$30 billion in MedTech sales, with particularly strong momentum in cardiovascular.

The pace of our MedTech innovation also remained strong. We launched 15 major products in 2024. Highlights include the approval of our VARIPULSE pulsed field ablation platform in several major markets and FDA clearance of our VELYS system for both robot-assisted spine and partial-knee surgery.

We also received an expanded FDA indication for our Impella heart pumps to treat pediatric patients as well as FDA clearance of Shockwave's Javelin peripheral IVL catheter. Looking forward, we progressed 18 clinical trial programs, including securing IDE approval of our Ottava robotic surgical system, which allows clinical trials to begin in the U.S.

The power behind our success and our future

Johnson & Johnson has an unrivaled portfolio and pipeline, with the financial muscle, global reach, and disease expertise to deliver the sustained pace of innovation and growth that is our hallmark.

I am proud of the remarkable strides we made in 2024 and energized by our boundless potential to improve and save lives.

As we look ahead, we have a strategic advantage that is unmatched in healthcare: the trust in our brand that has been earned over almost 140 years. Today, we remain committed to the principles that have always been at our core. We are a purpose-driven company guided by Our Credo.

And our employees around the world fuel everything we do. Whether we are scientists, salespeople, or supply-chain workers, everyone who works at Johnson & Johnson cares deeply—about each other and about the patients we serve.

93% of our employees say they are willing to go the extra mile to help Johnson & Johnson meet its goals, and improve patients' lives. As Chairman and CEO and a 36-year veteran of the company, I find this inspiring. Together, we are transforming health for humanity.



Sincerely,

Joaquin Duato
Chairman and CEO



Delivering for Our Credo stakeholders

7%

operational sales growth^{1,2}

\$88.8 billion

consolidated sales

~\$50 billion

invested in research and development and inorganic
innovation since January 2024³

26

products/platforms generating \$1+ billion in annual sales

62

consecutive years of increased dividends

81

years guided by Our Credo

15

major MedTech products launched

27

Innovative Medicine approvals in major markets

~138,000

employees

2.6+ billion

doses of Vermox donated since 2006 to facilitate
treatment of intestinal worms

¹ Non-GAAP measure: Operational sales growth excludes the effect of translational currency. Adjusted net earnings and adjusted diluted net earnings per share excludes special items and intangible asset amortization expense. Free cash flow is defined as cash flow from operating activities, less additions to property, plant and equipment. See Non-GAAP reconciliations in this Annual Report.

² Excluding the Covid-19 vaccine.

³ Includes the amount committed toward the planned acquisition of Intra-Cellular Therapies.

The tables below are provided to reconcile certain non-GAAP financial disclosures in the 2024 Chairman's Letter.

Reconciliation of Non-GAAP Financial Measures

(Dollars in Millions Except Per Share Data)	2024	2023
Net Earnings from Continuing Operations, after tax- as reported	\$ 14,066	\$ 13,326
<i>Pre-tax Adjustments</i>		
Litigation related	5,450	7,152
Intangible Asset Amortization expense	4,526	4,532
COVID-19 Vaccine related costs	100	663
Restructuring related	269	798
Medical Device Regulation	204	311
Acquisition, integration and divestiture related	1,226	339
Losses on securities	306	641
IPR&D impairments	211	313
<i>Tax Adjustments</i>		
Tax impact on special item adjustments	(2,135)	(2,694)
Tax legislation and other tax related	19	28
Adjusted Net Earnings from Continuing Operations, after tax	\$ 24,242	\$ 25,409
Average shares outstanding (Diluted)	2,429.4	2,560.4
Adjusted net earnings per share from Continuing Operations (Diluted)	\$ 9.98	\$ 9.92

Sales Growth % 2024 vs. 2023	Total	Operational	Currency
Worldwide as reported	4.3%	5.9%	(1.6)%
COVID-19 Vaccine impact	(1.2)	(1.1)	(0.1)
Worldwide excluding COVID-19 Vaccine	5.5	7.0	(1.5)

Free Cash Flow (Dollars in Millions)	2024
Net cash flows from operating activities	\$24,266
Less: Additions to property, plant and equipment	4,424
Free cash flow	\$19,842

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 29, 2024
or

☐ Transition Report Pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934
for the transition period from to

Commission file number 1-3215

Johnson & Johnson

(Exact name of registrant as specified in its charter)

New Jersey

22-1024240

(State of incorporation)

(I.R.S. Employer Identification No.)

One Johnson & Johnson Plaza
New Brunswick, New Jersey

08933

(Address of principal executive offices)

(Zip Code)

One Johnson & Johnson Plaza
New Brunswick, New Jersey 08933

(Address of principal executive offices)

Registrant's telephone number, including area code: (732) 524-0400

SECURITIES REGISTERED PURSUANT TO SECTION 12(b) OF THE ACT

Title of each class	Trading Symbol	Name of each exchange on which registered
Common Stock, Par Value \$1.00	JNJ	New York Stock Exchange
1.150% Notes Due November 2028	JNJ28	New York Stock Exchange
3.20% Notes Due November 2032	JNJ32	New York Stock Exchange
1.650% Notes Due May 2035	JNJ35	New York Stock Exchange
3.350% Notes Due November 2036	JNJ36A	New York Stock Exchange
3.550% Notes Due November 2044	JNJ44	New York Stock Exchange

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Exchange Act. Yes ☐ No ☒

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Exchange Act during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
Emerging growth company	☐		

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. Yes ☒ No ☐

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

The aggregate market value of the Common Stock held by non-affiliates computed by reference to the price at which the Common Stock was last sold as of the last business day of the registrant's most recently completed second fiscal quarter was approximately \$352 billion.

On February 6, 2025, there were 2,407,616,693 shares of Common Stock outstanding.

DOCUMENTS INCORPORATED BY REFERENCE

Part III: Portions of the registrant's proxy statement for its 2025 annual meeting of shareholders to be filed within 120 days after the close of the registrant's fiscal year (the "Proxy Statement"), are incorporated by reference to this report on Form 10-K (this "Report").

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Cautionary note regarding forward-looking statements

This Annual Report on Form 10-K and Johnson & Johnson's other publicly available documents contain "forward-looking statements" within the meaning of the safe harbor provisions of the United States Private Securities Litigation Reform Act of 1995. Management and representatives of Johnson & Johnson and its subsidiaries (the Company) also may from time to time make forward-looking statements. Forward-looking statements do not relate strictly to historical or current facts and reflect management's assumptions, views, plans, objectives and projections about the future. Forward-looking statements may be identified by the use of words such as "plans," "expects," "will," "anticipates," "estimates" and other words of similar meaning in conjunction with, among other things: discussions of future operations; expected operating results and financial performance; impact of planned acquisitions and dispositions; impact and timing of restructuring initiatives, including associated cost savings and other benefits; the Company's strategy for growth; product development activities; regulatory approvals; market position and expenditures.

Because forward-looking statements are based on current beliefs, expectations and assumptions regarding future events, they are subject to uncertainties, risks and changes that are difficult to predict and many of which are outside of the Company's control. Investors should realize that if underlying assumptions prove inaccurate, or known or unknown risks or uncertainties materialize, the Company's actual results and financial condition could vary materially from expectations and projections expressed or implied in its forward-looking statements. Investors are therefore cautioned not to rely on these forward-looking statements. Risks and uncertainties include, but are not limited to:

Risks related to product development, market success and competition

- Challenges and uncertainties inherent in innovation and development of new and improved products and technologies on which the Company's continued growth and success depend, including uncertainty of clinical outcomes, additional analysis of existing clinical data, obtaining regulatory approvals, health plan coverage and customer access, and initial and continued commercial success;
- Challenges to the Company's ability to secure and maintain adequate patent and other intellectual property rights for new and existing products and technologies in the United States and other important markets;
- The impact of patent expirations, typically followed by the introduction of competing generic, biosimilar or other products and resulting revenue and market share losses;
- Increasingly aggressive and frequent challenges to the Company's patents by competitors and others seeking to launch competing generic, biosimilar or other products and increased receptivity of courts, the United States Patent and Trademark Office and other decision makers to such challenges, potentially resulting in loss of market exclusivity and rapid decline in sales for the relevant product sooner than expected;
- Competition in research and development of new and improved products, processes and technologies, which can result in product and process obsolescence;
- Competition to reach agreement with third parties for collaboration, licensing, development and marketing agreements for products and technologies;
- Competition based on cost-effectiveness, product performance, technological advances and patents attained by competitors; and
- Allegations that the Company's products infringe the patents and other intellectual property rights of third parties, which could adversely affect the Company's ability to sell the products in question and require the payment of money damages and future royalties.

Risks related to product liability, litigation and regulatory activity

- Product efficacy or safety concerns, whether or not based on scientific evidence, potentially resulting in product withdrawals, recalls, regulatory action on the part of the United States Food and Drug Administration (U.S. FDA) (or international counterparts), declining sales, reputational damage, increased litigation expense and share price impact;
- The impact, including declining sales and reputational damage, of significant litigation or government action adverse to the Company, including product liability claims and allegations related to pharmaceutical marketing practices and contracting strategies;
- The impact of an adverse judgment or settlement and the adequacy of reserves related to legal proceedings, including patent litigation, product liability, personal injury claims, securities class actions, government investigations, employment and other legal proceedings;

- Increased scrutiny of the healthcare industry by government agencies and state attorneys general resulting in investigations and prosecutions, which carry the risk of significant civil and criminal penalties, including, but not limited to, debarment from government business;
- Failure to meet compliance obligations in compliance agreements with governments or government agencies, which could result in significant sanctions;
- Potential changes to applicable laws and regulations affecting United States and international operations, including relating to: approval of new products; licensing and patent rights; sales and promotion of healthcare products; access to, and reimbursement and pricing for, healthcare products and services; environmental protection; and sourcing of raw materials;
- Compliance with local regulations and laws that may restrict the Company's ability to manufacture or sell its products in relevant markets, including requirements to comply with medical device reporting regulations and other requirements such as the European Union's Medical Devices Regulation;
- Changes in domestic and international tax laws and regulations, increasing audit scrutiny by tax authorities around the world may cause exposures to additional tax liabilities potentially in excess of existing reserves; and
- The issuance of new or revised accounting standards by the Financial Accounting Standards Board and regulations by the Securities and Exchange Commission.

Risks related to the Company's strategic initiatives and healthcare market trends

- Pricing pressures resulting from trends toward healthcare cost containment, including the continued consolidation among healthcare providers and other market participants, trends toward managed care, the shift toward governments increasingly becoming the primary payors of healthcare expenses, significant new entrants to the healthcare markets seeking to reduce costs and government pressure on companies to voluntarily reduce costs and price increases;
- Restricted spending patterns of individual, institutional and governmental purchasers of healthcare products and services due to economic hardship and budgetary constraints;
- Challenges to the Company's ability to realize its strategy for growth including through externally sourced innovations, such as development collaborations, strategic acquisitions, licensing and marketing agreements, and the potential heightened costs of any such external arrangements due to competitive pressures;
- The potential that the expected strategic benefits and opportunities from any planned or completed acquisition or divestiture by the Company, including the divestment of Kenvue Inc., may not be realized or may take longer to realize than expected; and
- The potential that the expected benefits and opportunities related to past and ongoing restructuring actions may not be realized or may take longer to realize than expected.

Risks related to economic conditions, financial markets and operating internationally

- The risks associated with global operations on the Company and its customers and suppliers, including foreign governments in countries in which the Company operates;
- The impact of inflation and fluctuations in interest rates and currency exchange rates and the potential effect of such fluctuations on revenues, expenses and resulting margins;
- Potential changes in export/import and trade laws, regulations and policies of the United States and other countries, including any increased trade restrictions or tariffs and potential drug reimportation legislation, and the impact of such changes on raw material prices, supply chains market volatility and the pace of product development;
- The impact on international operations from financial instability in international economies, sovereign risk, possible imposition of governmental controls and restrictive economic policies, and unstable international governments and legal systems;
- The impact of global public health crises and pandemics;
- Changes to global climate, extreme weather and natural disasters that could affect demand for the Company's products and services, cause disruptions in manufacturing and distribution networks, alter the availability of goods and services within the supply chain, and affect the overall design and integrity of the Company's products and operations;
- The impact of global or economic changes or events, including global tensions and war; and
- The impact of armed conflicts and terrorist attacks in the United States and other parts of the world, including social and economic disruptions and instability of financial and other markets.